

How do external factors impact the business of banking?



2026 COMMUNITY BANK CASE STUDY COMPETITION

Sponsoring Bank: West Michigan Community Bank

Western Michigan University

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Executive Summary

West Michigan Community Bank (WMCB) is a community bank built on a relationship-focused approach to serving local businesses, individuals, and families across West Michigan. WMCB was established in 1976 and is based in Hudsonville, Michigan. WMCB emphasizes making decisions at the local level, lending responsibly, and a long-term commitment to the communities it serves.

This case study draws on our conversation with Mr. Matt Hoeksema (CEO) and Mr. Wade Perry (Chief Risk Officer), and our analysis of regulatory filings and publicly available financial reports. The study examines four primary areas: (1) financial performance and balance sheet trends, (2) the interest rate and inflation environment, (3) loan strategy and credit decisioning, and (4) capital, liquidity, and funding considerations.

We list our main conclusions here. First, WMCB has demonstrated strong earnings performance over the past five years, supported by a loan-driven business model and a consistently competitive net interest margin. Second, the bank manages interest rate and inflation-related pressures through active asset-liability management with a goal of maintaining a neutral risk position. Third, WMCB's loan portfolio reflects a deliberate emphasis on commercial real estate and commercial and industrial lending, supported by structured underwriting, active monitoring, and controlled credit losses. Fourth, WMCB's capital, liquidity, and funding profile reflects the tradeoffs of its loan-driven balance sheet as the bank continues to grow. Finally, WMCB takes a measured approach to technology adoption and regulatory compliance, using technology to enhance efficiency and control while continuing to rely on human judgment and strong governance. While capital is slightly below the 9% threshold, WMCB is still "well-capitalized"

because they are in the "grace range" and are certain to achieve the 9% level by April 2026 through internal accruals.

Overall, WMCB highlights how a community bank can pursue growth while maintaining disciplined lending, conservative risk management, and a strong local banking identity.

Part One: Financial Analysis

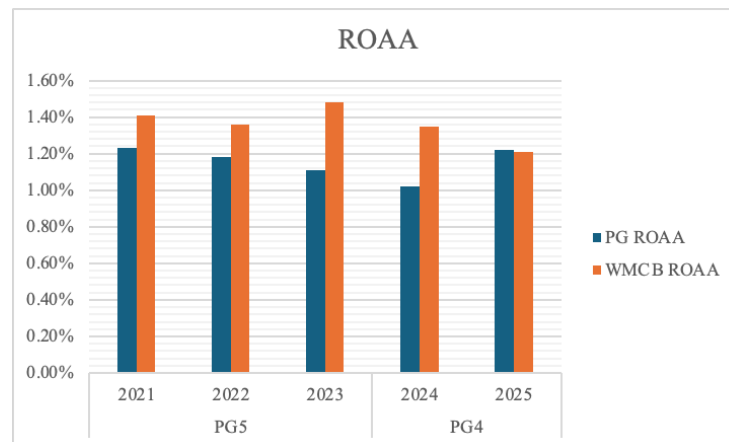
Using the FFIEC Uniform Bank Performance Report (UBPR), and the Call Report, we analyze WMCB's performance over the last 5 years. WMCB moved from Peer Group 5 to Peer Group 4 when their assets surpassed \$1 billion in 2024. This shift in 2024 places WMCB among larger banks, which affects its competitive ratings and benchmarks. To best compare WMCB to equivalent size banks, we use both the UPBR standard peer groups and the custom peer group that WMCB uses, made up of 11 Michigan banks that are on average larger and more closely aligned with WMCB's aspirations.

Earnings Performance

Return on Average Assets (ROAA)

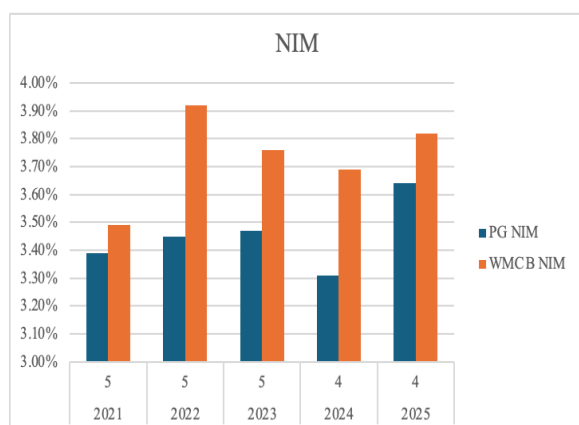
Historically, the bank has generated favorable earnings by preserving its net interest margin and operating efficiently. During the last five years WMCB's ROAA decreased from 1.48%, the highest, in 2023 to 1.21%, the lowest, in 2025. Though ROAA of WMCB was higher than the peer groups in years 2021-2024, WMCB ROAA has declined to 1.21%, which is marginally lower than the PG4 average of 1.22%. Although there has been a decline in WMCB's ROAA, it is still over the threshold of 1%, which indicates strong performance relative to

industry standards. When comparing WMCB using the custom peer group, the bank ranks 5th. This means that WMCB is one of the top performers compared to other banks in Michigan.



Net Interest Margin (NIM)

The Net Interest Margin is a key indicator of bank's core profitability, representing the difference between interest earned on earning assets and interest paid on deposits and borrowings. Over the past five years, WMCB has outperformed its peers. WMCB Ranks 4th for NIM in the custom PG. WMCB's NIM has increased from 3.49% in 2021 to 3.79% in 2025. WMCB's NIM peaked in 2022 with a NIM of 3.92%, outperforming PG5 by 47 basis points. In 2025, WMCB has a NIM of 3.79%, which puts the bank in a competitive position among banks in PG4 who have an average of 3.64%. WMCB's NIM performance over the last five years indicates that the bank earns higher yields on its earning assets compared to its peers, relative to the cost of the deposits, primarily because of higher levels of loans to assets.



Return on Equity (ROE)

WMCB has consistently outperformed its peer groups in its return on equity over the last five years. Its ROE peaked in 2023 with 17.80% which was driven by the high ROAA due to the bank's low credit loss provisions. Provisions for credit losses were only 0.05% of average assets in 2023, which is lower than the percentages in both the previous and following years. In 2025, ROE declined to 13.86%, because of the lower ROAA. Although there has been a decline in the return on equity, WMCB still is above the PG4 average of 12.37% for 2025. The bank's ability to generate better returns on its equity than its peer indicates that it is more effective than its peers at utilizing shareholder equity.

Loan Portfolio Composition

WMCB allocates a greater proportion of its assets allocated to loans than its peers. WMCB maintains a net loans and leases asset ratio of 85.17% in 2025, compared to the PG4 average of 70.54%. This indicates that WMCB is more dependent on its loans for generating income. This explains the bank's high earnings, but it also indicates that there is a greater credit risk and reduces the bank's liquidity compared to its peers.

Most of WMCB's loans are real estate loans, which make up 77.76% of their loan portfolio. This percentage is a little below the PG5 average of 79.18%. WMCB focusses on commercial real estate loans (CRE) which account for 45.14% of total loans, while banks in PG4 on average have only 34.39%. This concentration in CRE loans suggests that WMCB is focused on lending to local businesses. However, a downside to having this concentration is increased exposure to economic cycles and potential downturns in the real estate market. To mitigate this concentration risk, WMCB focuses on owner-occupied CRE loans. Mr. Hoeksema mentioned that such loans are less risky because the primary source of repayment is the cash flow from operations, which is similar to Commercial and Industrial (C & I) loans. WMCB holds \$287 million worth of owner occupied CRE which makes up 28% of the total loan mix.

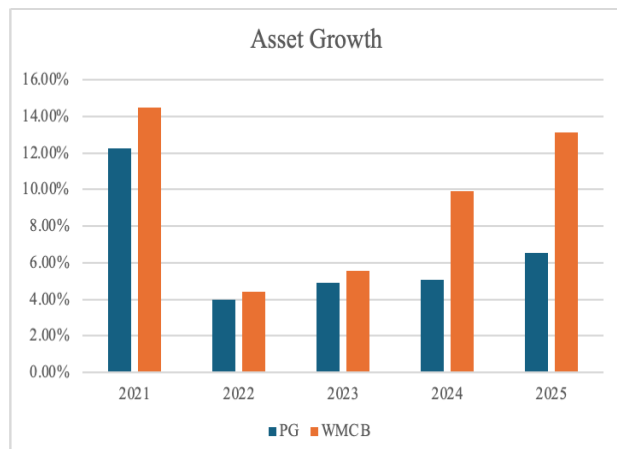
The next major concentration of loans is commercial and industrial loans (C&I). CEO Matt Hoeksema has over 20 years of experience in the industry, which explains the bank's success in the loan category. C&I loans comprise 17.52% of the loan mix. This number is above the peer average of 12.93%. This further reinforces the bank's emphasis on business lending. Mr. Hoeksema understands that the bank has a "natural tendency" to focus on the automotive and office furniture industry because of those industries prevalence in West Michigan. However, Mr. Hoeksema emphasized how even if loan demand is high in those industries, it is "not good business" to allow lending to those sectors to become a disproportionate portion of the loan portfolio. Mr. Hoeksema's goal for WMCB is to be "sufficiently diversified so that no industry has a significant concentration".

Since the owner-occupied CRE loans also depend on cash flows for repayment, the probability of both CRE loan and the C & I loan becoming problem loans can be high. Under the

leadership of Mr. Hoeksema, WMCB is well diversified and is in a good position to sustain its strong earnings.

Asset Growth

WMCB has experienced strong and consistent organic growth of assets and has outperformed its peers over the last five years. Total assets have increased from \$865 million in 2021 to \$1.186 billion. WMCB's growth rate over the last five years of 13.12% is roughly double the rate of banks in PG4 of 6.53%. Loans have grown by 12.90% in 2025, which is significantly above the peer average of 6.74%. This difference in growth between WMCB and its peers is likely due to moving up in peer groups and trying to make up for being in the lower end of total assets in the group.

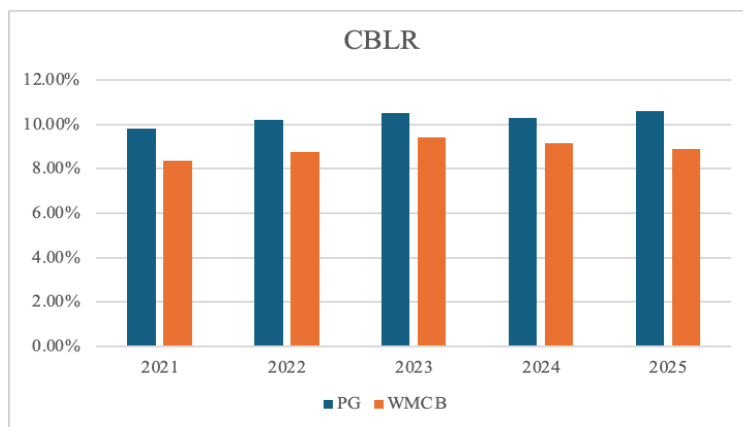


Mr. Hoeksema explained in our meeting that WMCB plans to expand further into the greater Grand Rapids area and have identified potential locations for a new branch. Mr. Hoeksema explained how expanding into Grand Rapids is a “tremendous opportunity” for WMCB because Grand Rapids has a “massive economy”. WMCB currently has a small presence

in Grand Rapids. Mr. Hoeksema believes that if WMCB can increase its market share in Grand Rapids to 1% or 2%, the bank could double or triple in size over the next 10 years.

Capital Levels

WMCB operates using the Community Bank Leverage Ratio (CBLR) framework. Banks using this framework must meet the following requirements: have less than \$10 billion in consolidated assets; have a leverage ratio of 9%; total off-balance sheet exposure must not exceed 25% of total consolidated assets; trading assets and liabilities must be 5% or less than total consolidated assets; and must not be an advanced approaches banking organization. By using this framework WMCB reduces compliance burdens and opts out of risk-based capital calculations.



WMCB maintains a lower CBLR than its peers because it is using its capital more aggressively to support growth. While peer banks hold higher capital levels for safety, WMCB operates with a leaner capital structure, allowing it to expand loans and assets more rapidly. However, this strategy comes with increased risk, as the bank has a smaller buffer to absorb potential losses. WMCB's leverage ratio in 2025 is 8.893%, which puts them just under the threshold of 9%. Mr. Hoeksema noted that the FDIC has proposed lowering the leverage ratio requirement to 8%. WMCB's leverage ratio likely decreased because of the fast asset growth. If

the requirement does not lower, WMCB will not be automatically kicked out of the CBLR framework. Banks falling below the threshold will typically get a grace period of two consecutive quarters before they must switch back to the risk-based capital framework. Mr. Hoeksema stated that since the bank is privately owned, they have immediate access to capital to make the threshold of 9%. However, Mr. Hoeksema said that they prefer to “earn our way back into it” through internal earnings rather than tapping owners for a capital injection. He expects the bank to break the 9% threshold by the end of April 2026.

Liquidity

WMCB maintains a highly utilized and loan heavy balance sheet. This is great for earnings but hurts WMCB’s liquidity. This can be seen in WMCB’s liquid assets which only make up 10.45% of total assets. This is less than half of the PG4 average of 24.10%, which places WMCB in the 5th percentile of its peer group. However, having a low liquid ratio compared to its peers could be a result of WMCB moving up peer groups. WMCB currently has total assets of \$1.186 billion, which is in the low end of Peer Group 4’s total asset range of \$1B to \$3B in assets.

WMCB’s liquidity is mainly tied up in its loan portfolio. WMCB’s net loans & leases to assets ratio is 85.17%, which is substantially higher than the peer average of 70.54%. WMCB has a net loans & leases to deposits ratio of 96.22%, meaning that nearly all the bank’s deposits are deployed into loans. The peer average for this ratio is significantly lower at 83.03%.

To support their high level of lending, WMCB relies heavily on its non-core and wholesale funding. WMCB has a non-core funding ratio of 12.50%, which is above the peer average of 8.27%. This means that WMCB is relying more on external market funding than its peers. 4.01%

of all assets are wholesale funding. This includes \$28 million in FHLB advances, \$15 million in brokered deposits, and \$4.5 million in federal funds purchased.

WMCB's funding structure reflects a strategic tradeoff: the bank maximizes its interest income by deploying a larger share of its balance sheet into loans and supplementing its local deposit funding with wholesale sources in the form of FHLB borrowings, Fed Fund Purchases, and brokered deposits. However, this increases liquidity and funding risk, as the bank maintains a smaller buffer of liquid assets and is more reliant on potentially volatile external funding. If needed, adequate contingency funding is available to the bank on a secured basis, including arrangements with its sister bank.

Part Two: Interest Rate Environment and Inflation

Interest rate and inflation conditions affect WMCB's balance sheet management, funding, credit conditions, and overall risk management. This section examines how the bank manages the risks and challenges created by that environment.

Asset and Liability Management

Asset and liability management (ALM) in banking refers to how a bank manages its balance sheet to realize strategic objectives while staying within acceptable risk tolerance. ALM includes managing interest rate risk (IRR) and liquidity risk, while also considering related risks. IRR is the risk to a bank's financial health arising from changing interest rates. Liquidity risk refers to the risk that a bank cannot meet its obligations in a timely manner without incurring significant losses.

At WMCB, ALM is overseen by a management-level ALCO that meets at least eight times per year. This committee guides the bank's efforts to maintain a generally neutral position

while adjusting its strategy if better data becomes available. Currently, WMCB's ALCO has an increased focus on executing its deposit strategy, as strong local loan demand has made it more challenging to secure its targeted level of stable core deposit growth in the current environment (Bank Management, 2026). Chief Risk Officer, Wade Perry, confirmed that ALM is fundamental to WMCB's core operations, as it underpins virtually all major strategic and financial decisions (Perry, 2026).

Interest Rate Risk Management

WMCB plans for IRR through forward-looking planning and by working to keep a generally neutral balance sheet position as interest rate conditions change. To assess IRR, the bank uses short-term earnings-at-risk analysis and evaluates long-term risk through economic value of equity analysis. Although both measures provide meaningful insight, the bank relies more heavily on the short-term measures (Bank Management, 2026). WMCB models IRR in 100 basis point increments up to plus or minus 400 basis points, which enables the bank to evaluate how moderate and severe rate changes might affect earnings and capital position. Additionally, WMCB recognizes that model results are informed estimates, so it uses back-testing, sensitivity analysis, historical data, and experienced judgment to validate model outputs (Bank Management, 2026).

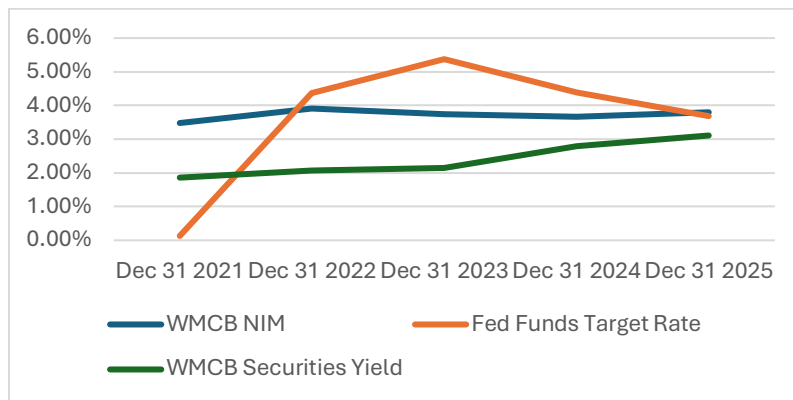
WMCB is generally asset-sensitive, which means the bank faces downside exposure when interest rates decline. One of the primary contributors to that position is its variable-rate loans, which allow yields to adjust as rates change, while repricing of the funding base is lagged. Because WMCB is generally asset-sensitive, a steepening of the yield curve is one of the rate

scenarios with the largest impact on its earnings, while a flattening yield curve narrows margins and reduces profitability (Bank Management, 2026).

Interest Rate Environment and Strategic Impact

After remaining near zero during and following Covid, the federal funds rate began rising in March 2022 to address elevated inflation. This cycle continued until September 18, 2024, when the Fed cut the target range to 4.75%-5.00%. Following additional reductions, the current target range is 3.50%-3.75% (Tepper, 2026).

WMCB's earnings did not move in a uniform way as interest rates changed over the past five years. Its NIM increased from 3.48% in 2021 to 3.92% in 2022, then declined in 2023 and 2024 even as interest rates continued to rise, before rising slightly to 3.79% in 2025. Over this period, the bank's investment securities yield rose more consistently, increasing from 1.86% in 2021 to 3.11% in 2025 (FFIEC, 2025). This suggests that the relationship between rate movements and WMCB's earnings is not linear, and different parts of its earnings respond differently to rate changes over time. As interest rates rose from post-COVID lows, WMCB's customers became more rate sensitive due to the opportunity cost of keeping balances in lower-yielding accounts, which in turn influenced both rate offerings and the composition of the deposit base.



The current rate environment has impacted WMCB's strategy by discouraging the bank from committing funds to longer-term investments, as extended duration does not offer significant additional return relative to shorter-term options (Bank Management, 2026). While the rate environment influences the bank's positioning, WMCB evaluates its strategic plans from a long-term perspective rather than reacting to short-term rate movements. The interest rate environment has affected WMCB's securities portfolio by causing unrealized losses due to interest rate movements. However, these losses have not meaningfully affected the bank because the securities can be pledged for short-term liquidity and are not expected to be sold before maturity, so the losses remain unrealized. Beyond WMCB's securities portfolio, a challenge posed by the rate environment has been that short-term rates have not declined as expected while competitive pressures remain high (Bank Management, 2026).

Investment Strategy

WMCB's overall investment strategy is focused on supporting balance sheet liquidity, with loans as the primary source of interest income. As a result, the bank maintains a generally conservative and highly liquid investment portfolio (Bank Management, 2026). The bank favors government-backed mortgage-backed securities (MBS) for their combination of liquidity,

duration, and minimal credit risk. In a typical operating environment, WMCB places greater emphasis on commercial loan growth than on expanding its investment portfolio (Bank Management, 2026).

In 2025, loans made up about 85% of WMCB's total assets, with securities investments accounting for about 7% of total assets. Additionally, roughly 82% of WMCB's securities portfolio was composed of MBS (FFIEC, 2025). These figures support the notion that WMCB is primarily loan-driven, with a commercial lending focus and significant concentration in real estate lending, while its securities portfolio remains concentrated in MBS.

Inflation's Impact on Operations and the Community

In the 2025 CSBS Survey of Community Banks, NIM was identified by respondents as the most prominent external risk facing community banks. When community banks were asked to rank the impacts of inflation on their banks, respondents cited deposit costs as the area most impacted, followed by personnel expenses, operating expenses, and the value of investments (CSBS, 2025). Personal Consumption Expenditures (PCE) inflation was 2.6% as of June 2025, down from 7.2% in June 2022 (Federal Reserve Bank of St. Louis, 2025). Consistent with industry trends, rising deposit costs have been a prominent effect of inflation and greater market demand for WMCB. For the bank, gathering low-cost deposits is a top priority, as it significantly affects its funding costs and risk profile (Bank Management, 2026).

Bank management noted that in the current inflationary environment, the bank has not substantially changed its strategy, as many businesses have been able to pass higher costs on to consumers and credit quality has remained strong (Bank Management, 2026).

Between Q4 2023 and Q4 2025, NII and NIM grew modestly, while expenses and loan loss provisions increased, contributing to a decrease in ROE and net income. These patterns suggest that inflation may still have contributed to pressure on operating costs and profitability. The inflationary environment has affected some borrowers' ability to repay loans at WMCB. Bank management noted that recently, the bank has seen an increase in requests for payment concessions, commonly through re-amortizing loan terms. They also noted that many five-year, low-interest loans are maturing, contributing to payment pressure and lower grades in the bank's commercial loan portfolio. However, the bank's watch list remains well controlled, suggesting that credit quality has not deteriorated materially and that issues are isolated to a small number of credits (Bank Management, 2026). WMCB's financial trends support this assessment. In 2025, 30-89 day past due loans were 0.43% of total loans while nonaccrual loans were approximately 0.31%. Although 30-89 day past due loans increased from 0.33% in 2024 and 0.08% in 2023, nonaccrual loans remained relatively low (FFIEC, 2025).

Despite this environment, WMCB has not changed its underwriting standards in response to economic conditions. Mr. Perry explained that the bank's lending criteria already account for factors like these and have "consistently held up through various economic cycles and slowdowns" (Perry, 2026). WMCB has, however, increased its provision for loan and lease losses to \$5.355 million in 2025, up from \$1.79 million in 2024 and \$0.455 million in 2023. Bank management indicated that this increase was primarily due to specific credit issues and overall portfolio growth rather than the macroeconomic environment, and that these conditions were not expected to worsen moving forward (Bank Management, 2026).

FOMC and Bank Strategy

The Federal Open Market Committee (FOMC) is a decision-making body that conducts monetary policy in the United States. The FOMC holds eight meetings per year where they review U.S. economic and financial conditions, and vote on the target range for the federal funds rate. The federal funds rate is the rate the FOMC uses to guide monetary policy toward the Fed's dual mandate of stable prices and maximum employment (Federal Open Market Committee).

Three weeks after each meeting, the Fed releases FOMC minutes, which provides an overview of the discussion in the meetings. Nechio and Wilson (2016) found that 5-year Treasury yields moved by an average of 5 basis points on the day FOMC minutes were released, compared with an average daily change of 3 basis points, over the period they studied (Nechio & Wilson, 2016). Because Treasury yields influence securities valuation, borrowing costs, and loan pricing, they can affect important areas of a bank's balance sheet and strategic decisions.

For WMCB, FOMC decisions are important for managing IRR and balance sheet positioning. These decisions affect how the bank prices loans and deposits (Bank Management, 2026). Additionally, portions of the bank's commercial portfolio are directly affected by FOMC decisions through Prime-based structures, while Secured Overnight Financing Rate (SOFR)-based loans are indirectly affected as market rates shift. The bank's fixed-rate loans are also influenced by the Treasury curve (Bank Management, 2026).

Mortgage Lending and Pricing

WMCB offers a range of mortgage loan products to serve its community's needs. These include adjustable-rate mortgages, fixed-rate mortgages, jumbo loans (over \$726,000), and construction-permanent loans. WMCB also offers government-backed loan products such as FHA, VA, and USDA rural development loans. The bank is cautious about keeping long-term

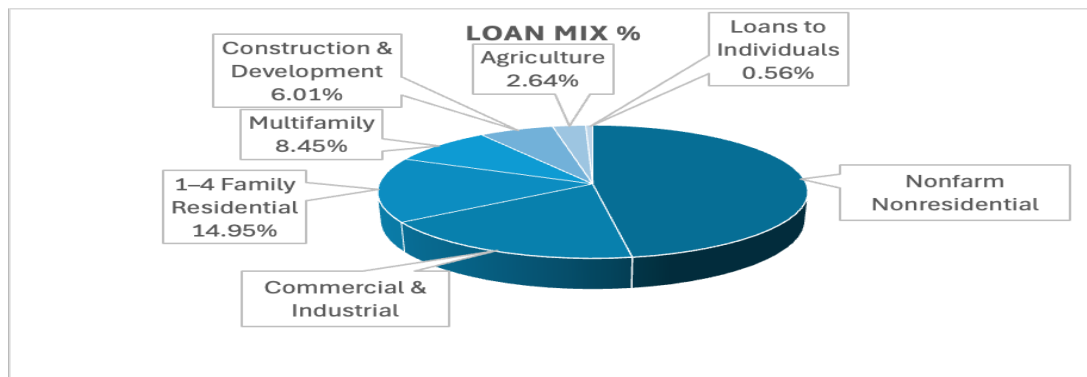
fixed-rate mortgage exposure on its balance sheet and generally seeks to keep mortgage duration below five years rather than holding long-term fixed-rate mortgages in its portfolio (Bank Management, 2026). When borrowers request longer fixed-rate terms, the bank manages that risk by using an interest-rate swap for certain commercial loans or structuring the loan as a salable residential mortgage (Bank Management, 2026).

Mortgage interest rates are generally determined by a combination of borrower-specific, loan-specific, and market factors. In WMCB's case, mortgage pricing is also determined by whether the loan will be sold or retained. Bank Management noted that "we price residential mortgages with the end investor in mind". For loans held on the balance sheet, WMCB sets pricing to keep an acceptable spread over the bank's long-term cost of funds, while the pricing committee reviews and adjusts fees as needed to stay competitive (Bank Management, 2026).

While the FOMC does not directly control mortgage rates, its decisions can influence them indirectly. Mortgage rates are more closely tied to longer-term market rates and are affected by other factors such as economic growth expectations and fiscal policy. As a result, mortgage rates do not always move in the same direction or by the same magnitude as changes in monetary policy.

Part Three: Loan Strategy & Decisioning

Loan Portfolio Composition and Strategic Focus



WMCB's loan portfolio reflects a clear commercial orientation. As of December 31, 2025, nonfarm nonresidential commercial real estate accounts for roughly 45% of total loans, while commercial and industrial lending represents about 18%. Together, these commercial loan categories make up more than 60% of the portfolio, reflecting the bank's strategic focus on business lending. One-to-four family residential loans account for an additional 15%, representing a distinct retail component of the loan mix.

This structure highlights management's strategic focus on business lending and owner-occupied real estate. While this approach supports stronger yields and deeper relationships, it also increases sensitivity to economic cycles, making disciplined underwriting and monitoring especially important.

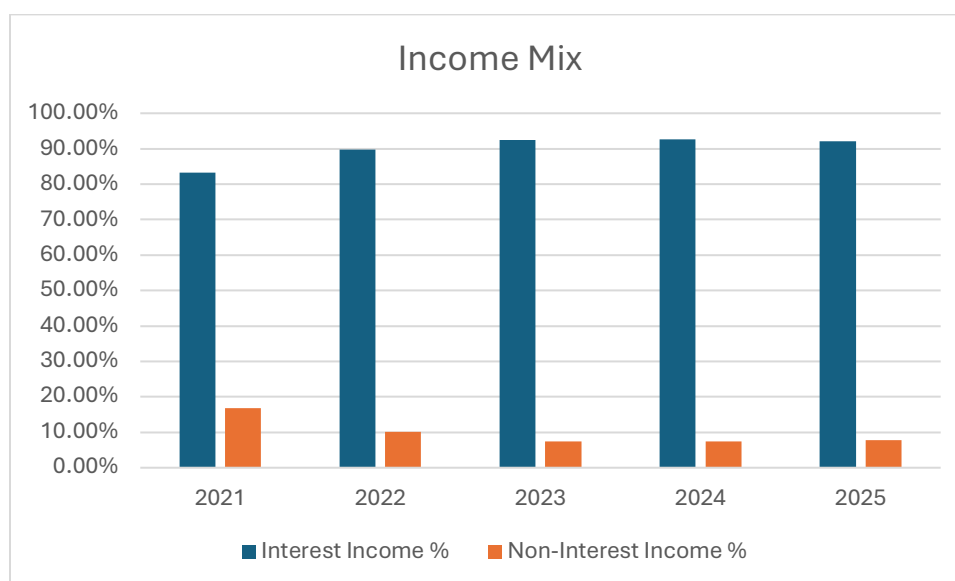
Underwriting Standards and Credit Governance

WMCB uses a tiered underwriting and approval framework that aligns oversight with loan size and risk. Smaller credits are generally approved by individual lenders, while larger or more complex exposures are scaled to loan committees and, when necessary, the Board of Directors.

Tier	Approval Authority	Underwriting Requirements
Smaller Credits (Up to \$500K)	Lender (Still require sign of Loan Officer)	Standard financial review
Mid-Size Credits (\$3.5MM-\$9M)	Secondary Loan Committee	Detailed financial analysis + collateral evaluation
Complex / Large (\$9MM - \$15MM)	Board of Directors	Detailed financial analysis + collateral evaluation

As loan size increases, underwriting expectations expand to include more detailed financial analysis, collateral evaluation, and guarantor support. This structure allows the bank to move efficiently on smaller relationship loans while maintaining additional control over higher-impact credits.

Loan Pricing and Net Interest Margin Performance



WMCB's loan pricing strategy has been shaped by a historically unusual interest rate environment. In 2021, interest rates remained exceptionally low, limiting pricing flexibility across the industry. As rates rose sharply beginning in 2022, WMCB adjusted loan pricing and funding

strategies to reflect changing market conditions. NIM increased to a peak of 3.92% in 2022, compressed as deposit costs rose in 2023 and 2024, and improved again to 3.79% in 2025. At the same time, non-interest income remains a much smaller part of the picture. It fell from 16.82% in 2021 to below 8% in recent years, which means the bank depends heavily on its lending business. Because of this, any changes in loan demand or interest rates can directly affect performance. The improvement in NIM in 2025 is a good sign, but the bank will need to keep controlling its pricing and funding costs to maintain that stability going forward.

Loan Monitoring, Watch List, and Problem Credits

WMCB monitors loan performance using past-due status and periodic borrower financial reporting, with review frequency adjusted based on risk rating. Higher-risk borrowers receive more frequent attention, allowing management to identify emerging issues earlier.

Monitoring Framework

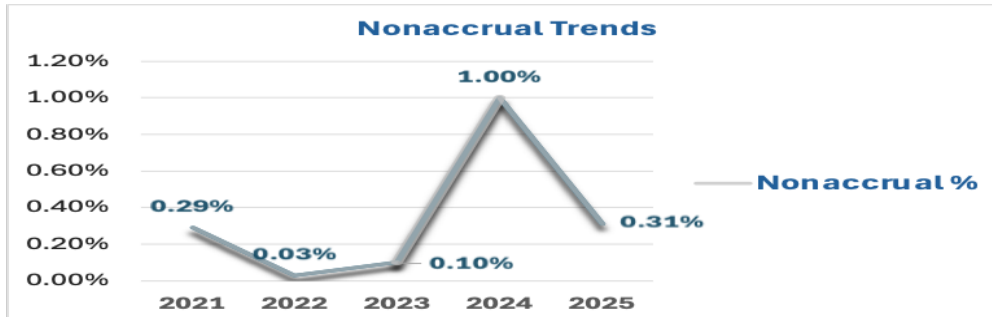
- Formal watch list with quarterly review by the Problem Loan Committee
- Monthly Board-level review of classified and special mention credits
- Risk-rated review frequency — higher-risk borrowers reviewed more often

Loans showing signs of stress are placed on a formal watch list and reviewed quarterly by a problem loan committee and monthly at the Board level. As of year-end 2025, nonaccrual levels remained low, suggesting that monitoring practices have been effective under current conditions.

Credit Loss Experience and Allowance Strategy

WMCB's recent credit loss experience of relatively stable conditions after several years of modest activity. Net charge-offs in 2025 were approximately 0.30% of average loans, indicating that realized losses during the year were limited. The allowance for credit losses during the same

period was approximately 1.34% of total loans, which is higher than both recent charge-offs and current nonaccrual levels.



Concentrations, Higher-Risk Segments, and Stress Testing

WMCB maintains exposure to certain economically sensitive segments of its loan portfolio, which receive enhanced underwriting standards and ongoing monitoring. Rather than avoiding these sectors, the bank manages risk through conservative loan structures, guarantor support, and the use of government-backed programs such as SBA lending.

Portfolio stress testing is conducted twice a year using scenarios based on loss rates from the 2008 downturn. While recent results have not required changes to underwriting or concentration limits, stress testing provides an additional lens for assessing how concentrated exposures could perform under adverse conditions.

Economic Environment: Rates, Inflation, and Tariffs

Higher interest rates, inflation, and tariff pressures are starting to show more clearly for certain borrowers, especially in industries like manufacturing, agriculture, and transportation. Rising input costs and financing expenses can gradually squeeze margins, making it harder for businesses to maintain strong and consistent cash flow over time.

So far, these pressures have not translated into a noticeable increase in delinquencies or nonaccrual loans at WMCB. However, credit stress in commercial portfolios often appears with a

delay, as borrowers initially absorb higher costs or rely on existing liquidity. This makes continued monitoring important, particularly as economic conditions remain uncertain and pressures persist.

Technology, Judgment, and the Future of Lending

WMCB is gradually adopting automation and artificial intelligence to improve operational efficiency and strengthen fraud detection, while keeping technology, in a supporting role for key decision making, rather than at the center of credit decisioning.

Lending decisions continue to rely primarily on human judgment. Going forward, the challenge will be integrating technology in ways that enhance efficiency and insight without weakening the credit discipline that underpins the bank's community-banking model.

Section Four: Bank Capital

Bank capital is the cushion that helps absorb losses and protects depositors. It is the difference between what a bank owns and what it owes, and it helps absorb losses when loans weaken or investments lose value. In community banking, capital is important because it protects depositors, supports lending, and helps banks satisfy regulatory requirements. For WMCB, total equity capital was \$97.92 million at year-end 2025, which provided a meaningful buffer to absorb losses while supporting the bank's growth (FFIEC, 2025).

Capital Requirements and Planning

Banks typically determine how much capital to hold based on their regulatory minimums and risk assessment. For WMCB, these two considerations are closely connected. Bank management noted that part of the bank's capital strategy is to maintain a 9% leverage ratio, as that level is viewed as appropriate for WMCB's risk profile and sufficient to meet regulatory requirements

(Bank Management, 2026). WMCB's minimum requirements are shaped by its use of the Community Bank Leverage Ratio (CBLR), which provides a simplified regulatory framework for qualifying community banks. In 2025, WMCB reported a leverage ratio of 8.89%, which is slightly below its 9% target, but is in the grace range for well-capitalized banks (FFIEC, 2025).

Risk-Based Capital and Risk-Weighted Assets

Risk-based capital is determined by assigning different assets with different risk weights based on their perceived risk. This approach measures capital against risk-weighted assets (RWAs), so higher-risk assets require more capital support than lower-risk assets. WMCB uses the CBLR framework rather than reporting risk-based capital ratios, so it is not required to calculate RWAs for regulatory compliance purposes (Bank Management, 2026). These considerations remain relevant to WMCB, as the bank's balance sheet incorporates loans with varying levels of risk.

Ways to Increase Capital

A bank can increase capital in various ways, all with tradeoffs. Retaining earnings builds capital over time without requiring outside funding, but it is slower and may leave less available for dividends. Issuing subordinated debt provides additional capital, but it creates a fixed repayment obligation and is considered lower-quality capital than Tier 1's common equity. According to Mr. Hoeksema, WMCB has a range of options if additional capital is required, including issuing subordinated debt, drawing on holding company debt, utilizing preferred shares, or reducing dividends (Hoeksema, 2026). He also noted that the bank's corporate structure provides added flexibility because sister banks can help service debt requirements if necessary (Hoeksema, 2026).

Operational Risk and Capital Requirements

Operational risk is the risk to a bank's financial condition, earnings, and resilience arising from misconduct, human error, inadequate processes or systems, or adverse external events (OCC, n.d.). For WMCB, Mr. Hoeksema explained that these risks are considered through the bank's leverage ratio, which includes unallocated capital sufficient to absorb noncredit risk exposures. He also noted that WMCB maintains comprehensive insurance coverage to reduce the potential impact of unexpected operational events (Hoeksema, 2026).

Loss Absorption and Capital Hierarchy

Tier 1 capital is a bank's core capital, such as common equity and retained earnings, while Tier 2 capital is additional capital that can include items like subordinated debt and certain reserves. Tier 1 is considered a stronger form of capital because it can absorb losses more effectively while the bank is operating and is more permanent (FDIC, 2022). In the event of a bank failure, capital protects depositors by absorbing losses before they reach deposit accounts. Insured deposits are protected up to FDIC limits, while uninsured deposits are at greater risk if the losses surpass the bank's capital buffer (FDIC, 2024). For WMCB, this emphasizes the importance of maintaining a capital level management considers appropriate for the bank's risk profile, including a 9% leverage ratio (Bank Management, 2026).

HTM vs AFS Securities

Held-to-maturity (HTM) securities are carried at amortized cost because a bank intends to hold them to maturity, while available-for-sale (AFS) securities are reported at fair value, with unrealized gains and losses reflected in accumulated other comprehensive income (AOCI)

(FDIC, 2025). For WMCB, AFS securities equaled 6.36% of assets in 2023 and 7.05% in 2025, while HTM securities equaled 0.24% and 0.14% of assets in 2023 and 2025. This data suggests that the events of the 2023 banking turmoil did not significantly change how WMCB categorized its securities (FFIEC, 2025).

Accumulated Other Comprehensive Income (AOCI) & Tangible Equity

AOCI is an element of equity that includes unrealized gains and losses on available-for-sale securities that are not reported in net income, and it can reduce equity when securities values fall (FDIC, 2025). For WMCB, this matters because a larger share of its assets is tied to AFS securities than HTM securities. Tangible equity is equity remaining after excluding goodwill and other intangible assets (FDIC, 2018). For WMCB, tangible equity and reported equity were both \$97.921 million in 2025. This suggests that intangible assets did not cause any reduction to WMCB's equity base.

Balance Sheet Hedging

WMCB does not use balance sheet hedging instruments at the bank level. Instead, management explained that the bank relies on natural hedging through its short-term balance sheet structure including variable rate loans and strong base of non-maturity deposits. Management also noted that WMCB offers back-to-back interest rate swaps for borrowers seeking fixed rates beyond five years (Bank Management, 2026).

WMCB has demonstrated strong recent performance through healthy earnings, a commercial lending focus, competitive NIM, and solid operational efficiency. The bank manages interest rate and inflation pressures through active ALM aimed at maintaining a generally neutral

risk position. Its lending strategy emphasizes commercial loans supported by disciplined underwriting, active credit monitoring, and controlled credit losses. WMCB's capital, liquidity, and funding profile reflects the tradeoffs of continued growth. Looking ahead, WMCB appears well positioned to sustain its growth while maintaining the disciplined approach that characterizes its community banking model.

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